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YARDENI QUICKTAKES

AI Credit Crunch?

By Ed Yardeni & Elias Griepentrog • 22 Oct 2026
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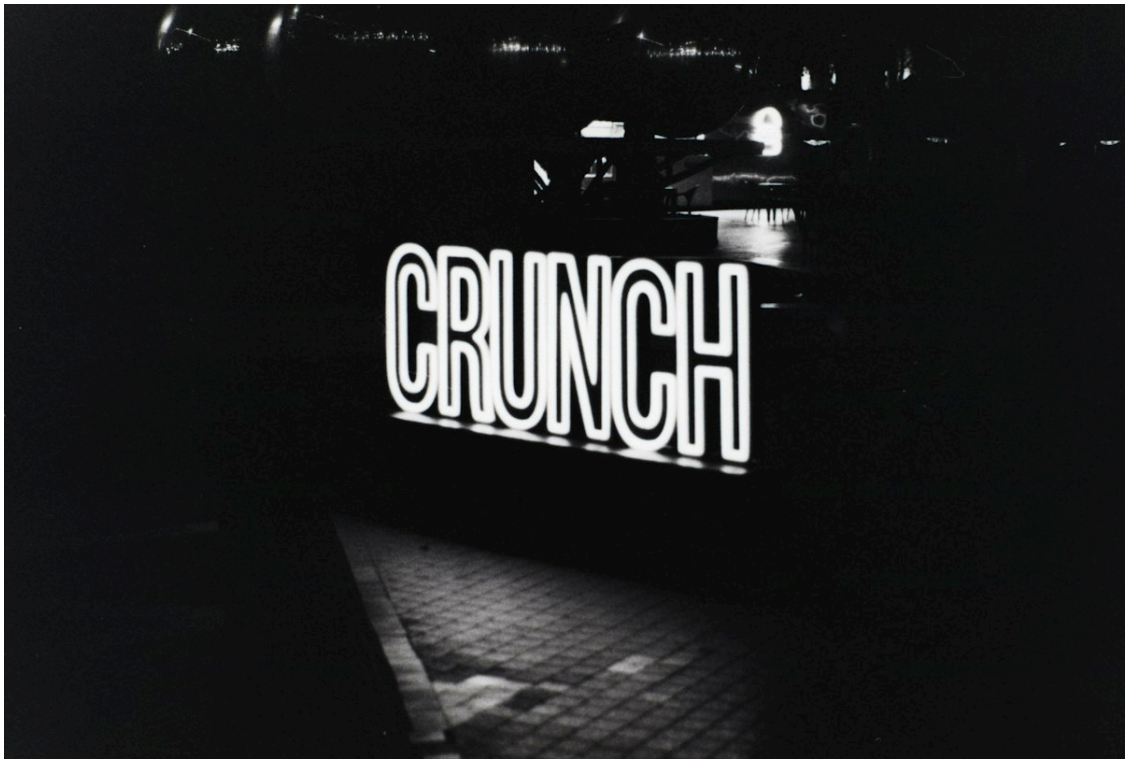


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I. AI Jitters

Investors have worried that AI companies are spending too much on data centers. These companies' once ample free cash flows have turned negative, forcing them to borrow. Concerns have mounted that they are driving up financing costs and won't generate sufficient returns to justify their huge investments. Now, another concern is moving to the forefront: Does enough capital even exist to finance everyone's ambitious AI spending plans?

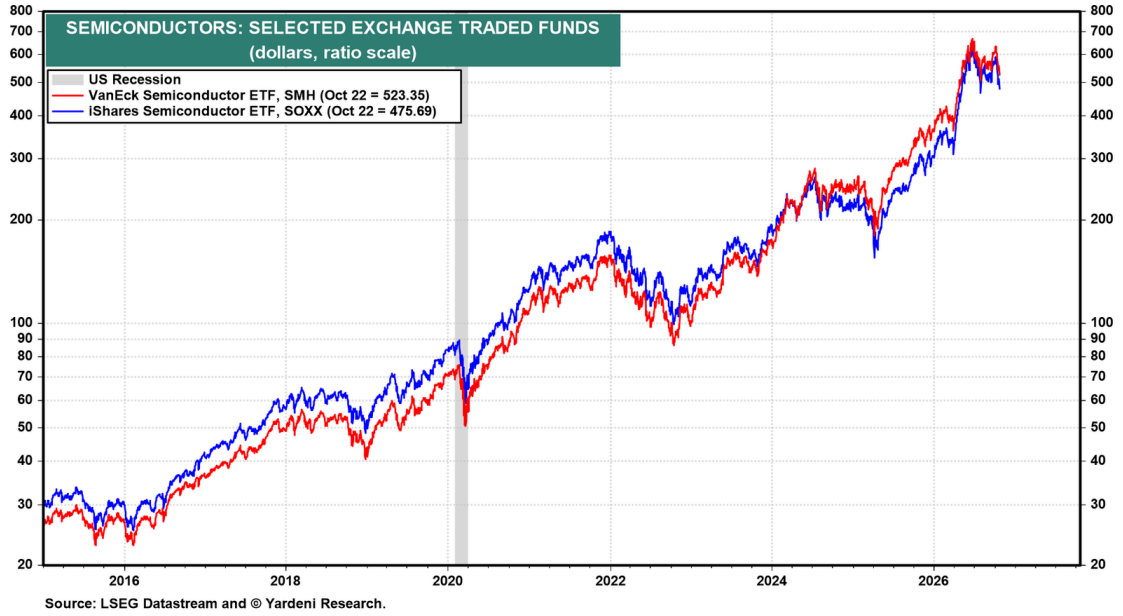
Meta's earnings announcement on Wednesday brought these concerns to the fore. Despite revenues rising 26% y/y to $64.6 billion, the company reported negative free cash flow of $2.1 billion. It raised the lower end of its 2026 capital expenditure guidance to $135–$145 billion and announced a new class of non-voting shares to facilitate future capital raising. Investors interpreted the move as a sign that even hyperscalers may be rushing to secure financing before competitors absorb the available capital.

Indeed, the Meta report stated: "Recent significant capital raises from peers like Alphabet and SpaceX, alongside anticipated fundraising from Anthropic and OpenAI, have created an increasingly challenging fundraising environment."

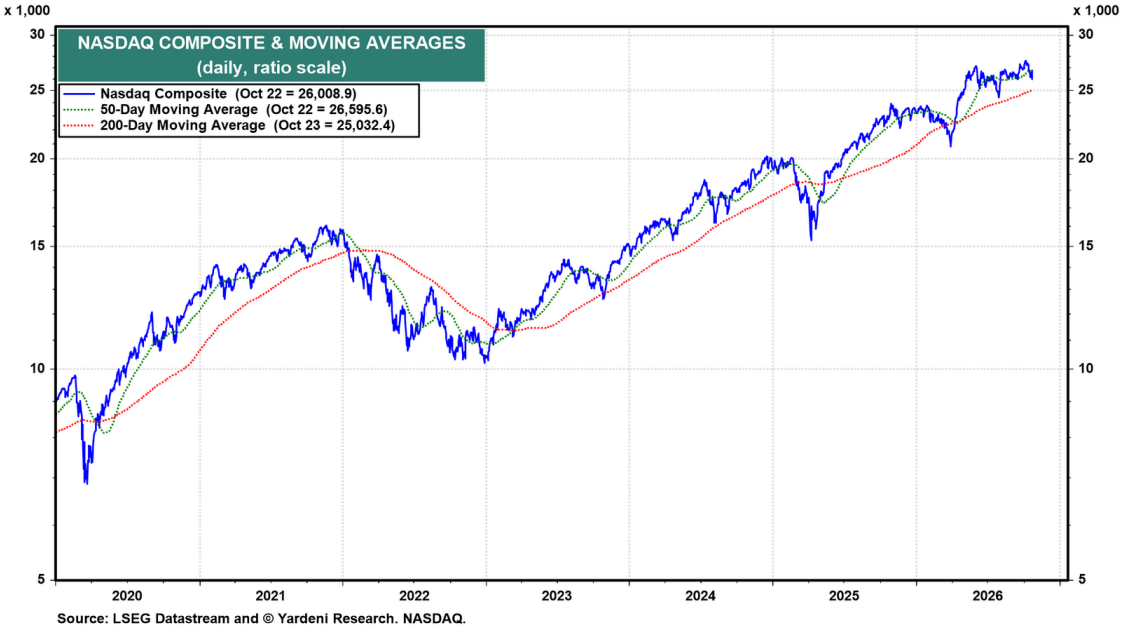
Several industry leaders have confirmed this concern. Broadcom CEO Hock Tan recently warned that capital could become the biggest constraint on AI development. BlackRock CEO Larry Fink said that competition for capital was the fiercest he had witnessed in his career. On Thursday, Nvidia CEO Jensen Huang warned that neocloud demand is "off the charts" but capital is scarce.

As AI companies compete for capital, rising financing costs increase the returns required to justify investments, amplifying the original worry about whether all that spending will pay off. Today's market action showed how these concerns are playing out across stock and bond markets:

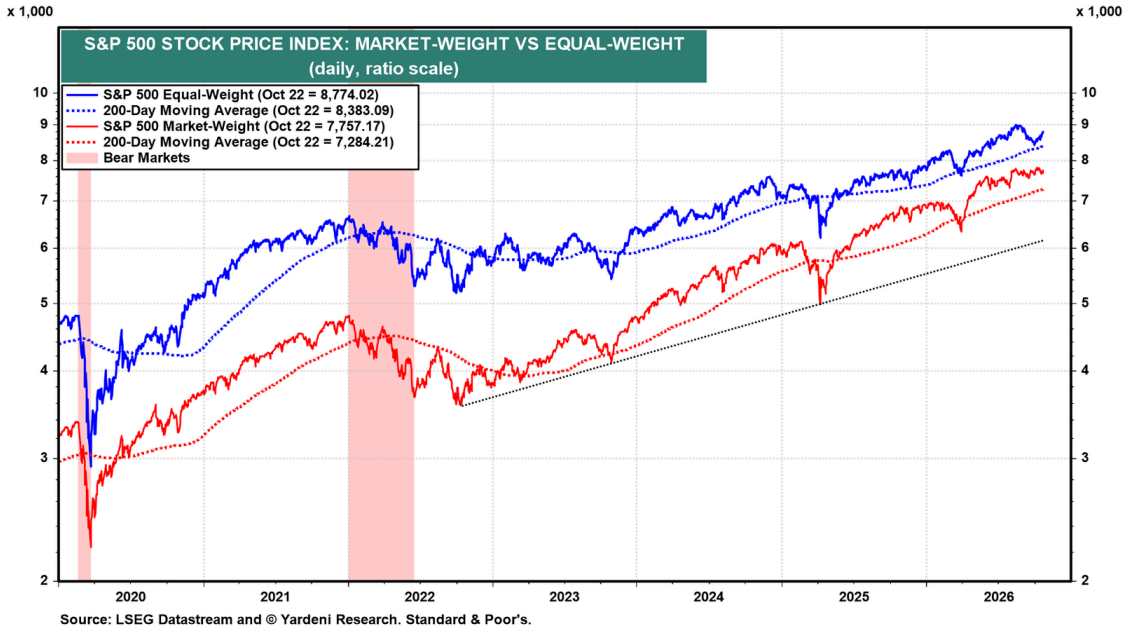
(1) AI stocks got a shellacking. Meta's shares plunged 7.0% today after yesterday's announcement, leading a broad selloff in AI-related stocks. Nvidia fell 4.4%, CoreWeave fell 10.1%, and Lam Research fell 11.8%. SOXX dropped 6.8% (chart).



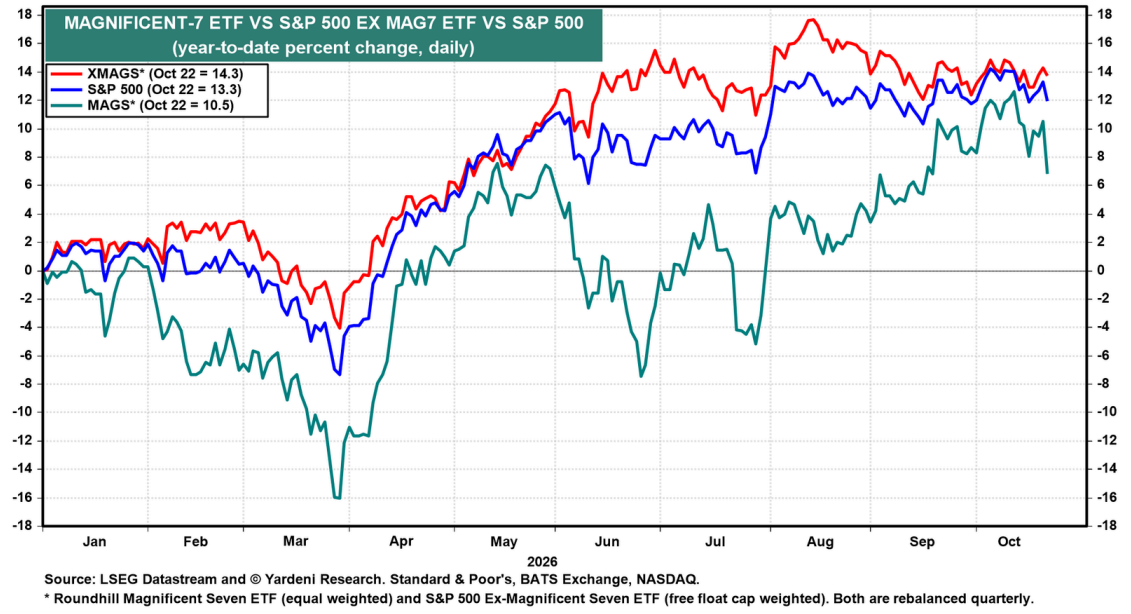
The Nasdaq dropped 2.6%, its worst day in four months (chart).



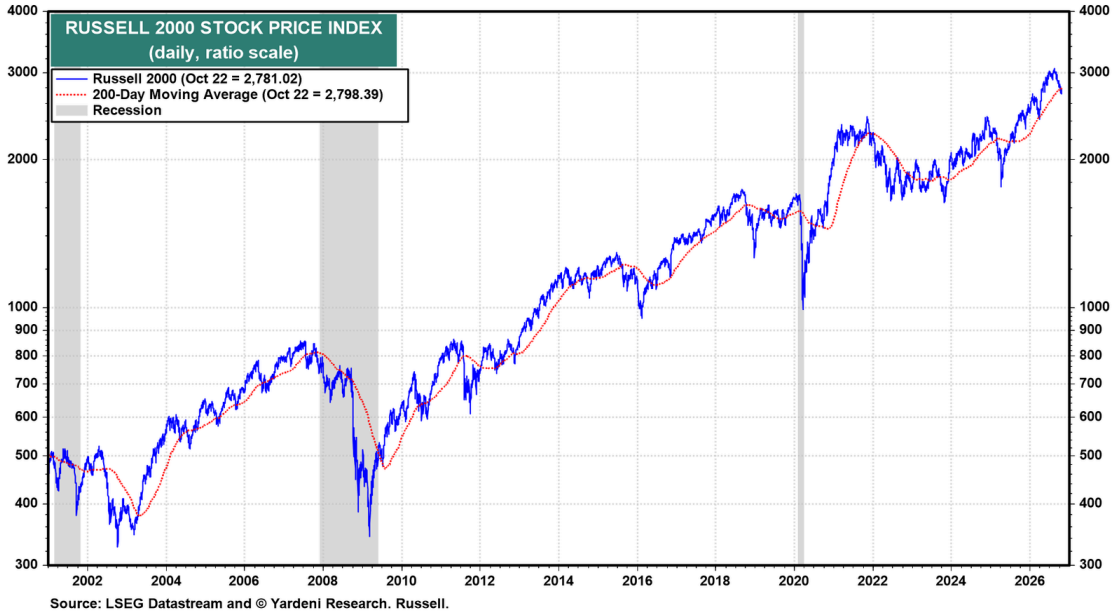
(2) Investors rotated. The market broadened away from technology stocks today. The equal-weighted S&P 500 edged up 0.7%, outperforming its market-cap-weighted counterpart, which fell 1.2% (chart).



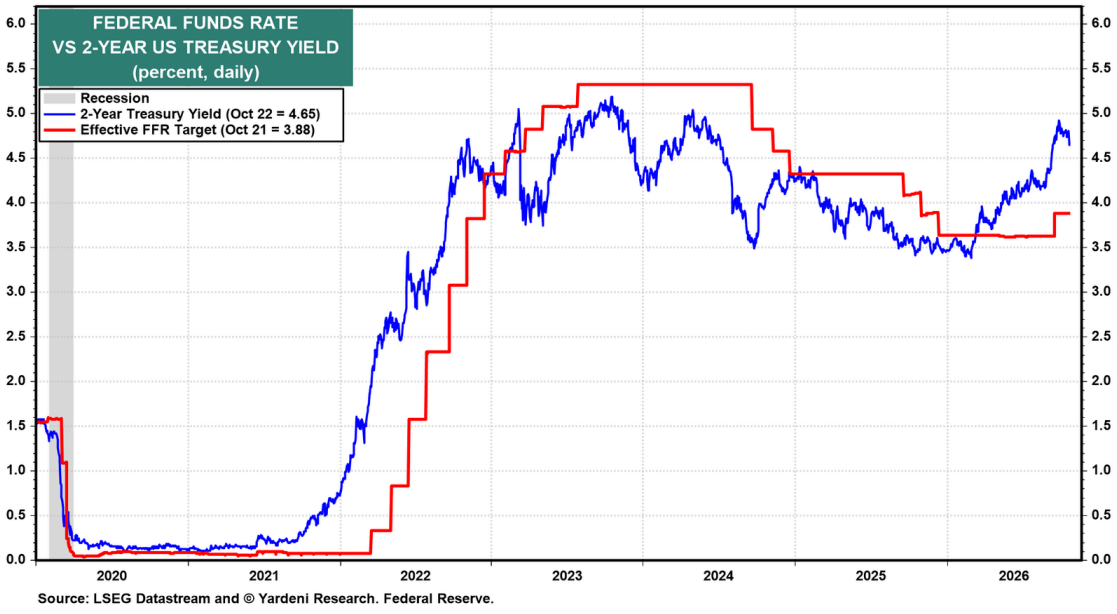
MAGS fell 3.4% today, while XMAG edged down 0.5% (chart). The latter is still outperforming the former so far this year: 14.3% versus 10.5%.



The Dow edged up 0.02%, while the Russell 2000 gained 0.11% (chart). Rather than abandoning equities, investors rotated away from the AI trade into other sectors.



(3) The bond market's reaction was a happy one. Treasury yields declined across the yield curve, with the 2-year falling sharply to 4.64% but remaining well above the effective federal funds rate (chart).



The 10-year Treasury yield fell below 5.00% for the first time in nearly a month, returning to what we consider its old-normal range of 4.00%–5.00% (chart). The Treasury market rally suggests that investors are increasingly concerned that tightening access to capital could slow the AI buildout, one of the economy's most important growth engines.

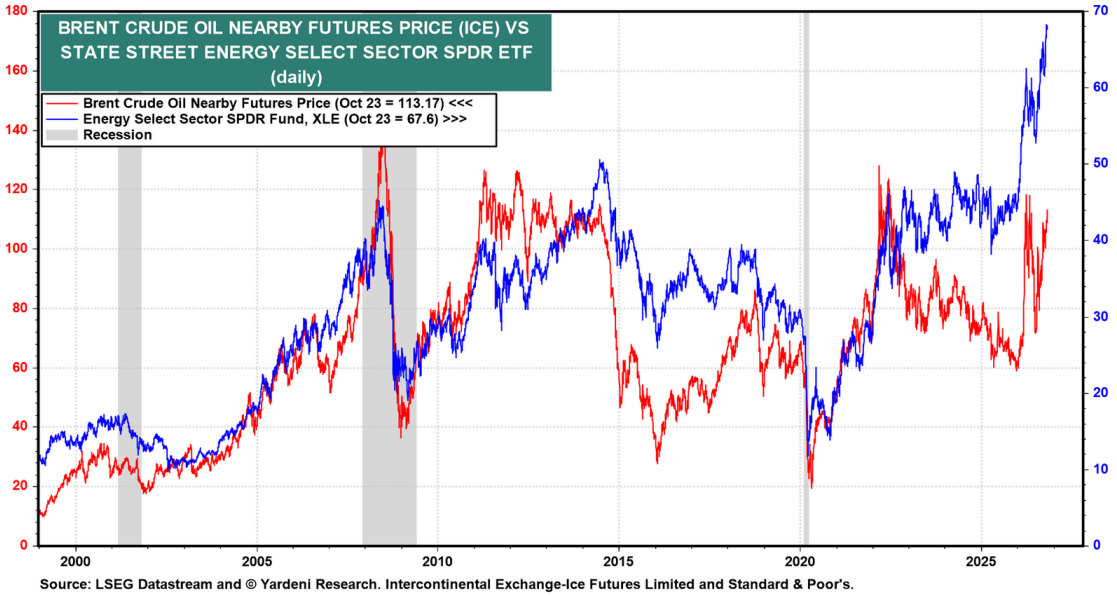


(4) Our take. We view market-driven tightening access to capital as healthy for the AI boom, resulting in more efficient capital allocation and reducing over-investment risks. Importantly, we expect the key players to retain financing access. The five major hyperscalers (Amazon, Alphabet, Meta, Microsoft, and Oracle) alone are projected to spend almost $780 billion in 2026. Over each of the following four years, from 2027 through 2030, that figure is expected to exceed $1 trillion annually. Their strong cash flows, balance sheets, and market access should allow them to continue investing in AI.

II. The Middle East Wild Card

Another development amplifying risk-off sentiment today was escalating geopolitical tensions in the Middle East. *The New York Times* reported that the US and Israel have developed plans for possible renewed strikes against Iran following the November 3 midterm elections. Meanwhile, intensifying Houthi attacks on Saudi infrastructure prompted the US to order nonessential diplomatic personnel and their families to leave Saudi Arabia, while Saudi Aramco evacuated staff from its Dhahran headquarters.

The price of Brent crude oil jumped to $113.17 per barrel Thursday, while West Texas Intermediate crude rose to $103.95 (chart). That sent XLE, which we've recommended overweighting, to a new record high today.



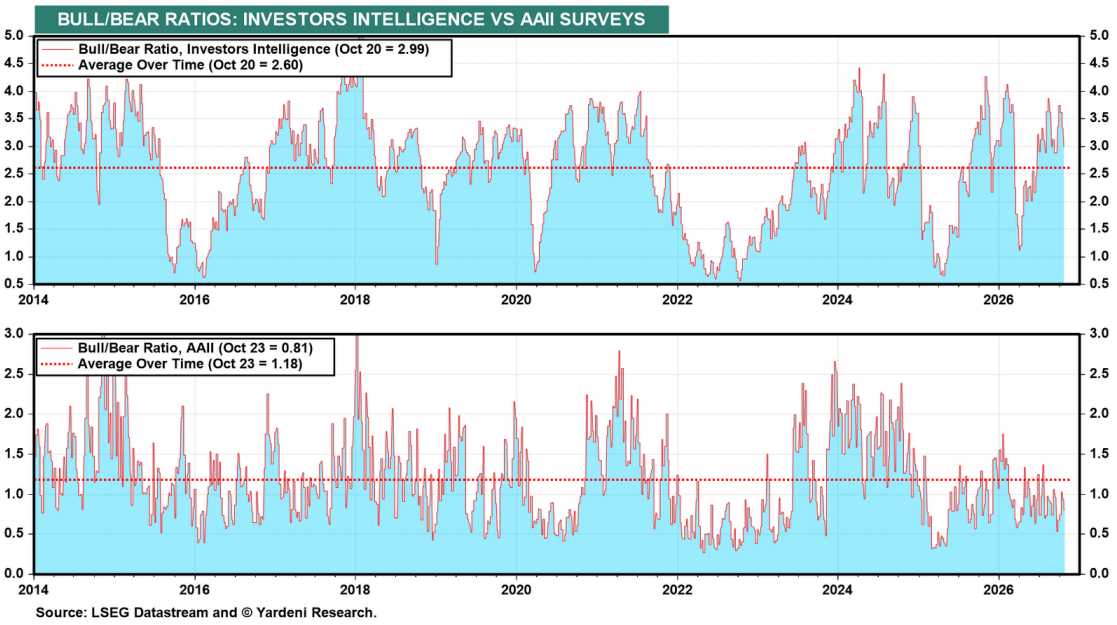
Yet, Kpler data cited by *The Wall Street Journal* showed Middle Eastern oil exports averaging more than 24 million barrels per day during the week through October 18, exceeding prewar levels of 23 million. Prices remain elevated partly because of higher shipping costs, but more importantly because of a geopolitical risk premium, reflecting concerns that such flows may not be sustained.

The bottom line is that the Middle East conflict remains a wild card. However, we expect US consumer spending and business investment to remain robust, while federal deficits of roughly 6% of GDP (during a solid economic expansion) provide additional economic stimulus.

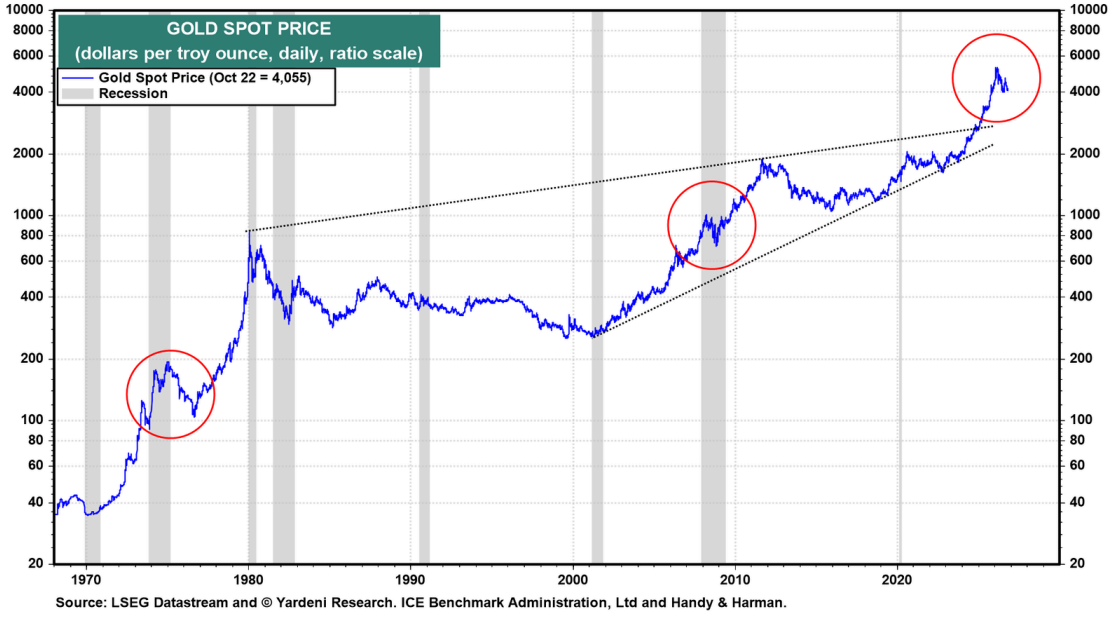
We expect the US economy will continue to pass the latest stress tests originating in the AI ecosystem and in the Middle East.

III. Miscellaneous

We expect to see lower bull-bear ratios next week after today's drubbing (chart). If they fall low enough, that might set the stage for a year-end rally. Then again, there might be a better opportunity to buy the dip when and if bombs start falling again in the Middle East.



Gold sold off on today's commotion even though interest rates fell (chart). We are expecting that the retest of $4,000 per ounce might hold and be a good entry point following this year's correction (chart).



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